

Rpt Date 24/Oct/2006			Well Name/No Bilabiri D3				Section Name/No 12 1/4" hole #3				Mud System SYN-TEQ (PARA)						
Job# 1		Spud Date 04/Oct/2006				MD 2548.00 m			Progress 371.00 m			Present Activity Drilling Formation					
Operator Peak Petroleum Indust. Limited				Company Rep James Blackmon/Peter Vermeulen				Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Terry Nanidis						
Field/Lease Bilabri			Blk/Co/Parish OML - 122 / Nigeria				Area Offshore			Country/State Nigeria			Rig BULFORD DOLPHIN				
Drilling Assembly						Casing			Volumes	Pump Information							
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC		PDC			19 1/2	166.20	Total Hole 1299	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	80	401
Drill Collars			Drill Pipe			20	18 3/4	199.58		Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	81	406
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	829.50	Active Pits 409	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
8 1/4	2.800	33.74	5	4.276	2308.63		12 1/4	2548.00									
8	2.800	46.73	5	3	158.56				Tot Active 1708								
										Circulation Times							
									In Storage 590	Surface to Bit		7.3 min/1183stks		Total System		88.8 min/14291stks	
										Bottoms Up		60.1 min/9684stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property		1	2	3	4	AV Riser		55.72 ft/min	Standpipe Pressure		3250 psi		Water Depth 145.00 m				
Sample From		Reserve	Flow Line	Flow Line	Flow Line	AV Casing		153.29 ft/min	Hole Flow		808 USgal/min		Riser Booster Rate USgal/min				
Check Time		11:00	05:48	11:13	21:00	AV Open Hole		241.40 ft/min	Solids Analysis								
MD m		2365.00	2270.00	2371.00	2511.00	Vc Open Hole		445.28 ft/min	Property	1	2	3	4				
TVD m		2362.00	2270.00	2370.00	2510.00	Vc Drill Pipe		413.22 ft/min	LGS %	5.51	8.33	7.49	7.46				
Bit Depth m		2365.00	2270.00	2371.00	2511.00	Min Ann Velocity			LGS lb/bbl	50.24	75.94	68.22	68.00				
Inc deg		1.04	0.17	1.04		AV Riser		55.72 ft/min	HGS %	6.53	5.10	5.55	5.53				
Density ppg		10.10	10.10	10.10	10.10	AV Casing		60.61 ft/min	HGS lb/bbl	96.17	75.04	81.70	81.37				
Funnel Visc. sec/quart		62.0	65.0	68.0	63.0	AV Open Hole		158.28 ft/min	Avg Dens Sol sg	3.4677	3.2073	3.2812	3.2809				
Circ BHTdegF		185.0	181.0	185.0		Bit Information											
Flow Line Temp degF		152.0	152.0	156.0	162.0	Size		12 1/4 in									
Test Temp degF		95.0	110.0	110.0	110.0	Hours On Bit											
Rheol Temp degF		120.0	120.0	120.0	120.0	Bit Number											
PV cP		22	29	28	29	BHA Number		5	Rheology								
YP lbf/100ft^2		23	26	25	28	Depth In		844.00 m	600 RPM	67	84	81	86				
10sec Gel lbf/100ft^2		11	18	19	19	Bit RPM			300 RPM	45	55	53	57				
10min Gel lbf/100ft^2		17	32	30	33	WOB		klbf	200 RPM	36	45	42	45				
HTHP Filtrate cc		3.8	3.0	3.0	2.8	Nozzles											

ADVANTAGE Daily Drilling Fluids Report - 24



INTEQ

Rpt Date 24/Oct/2006		Well Name/No Bilabri D3		Section Name/No 12 1/4" hole #3		Mud System SYN-TEQ (PARA)	
Job# 1	Spud Date 04/Oct/2006		MD 2548.00 m		Progress 371.00 m		Present Activity Drilling Formation
Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	5.0		10.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	2.0	2 x 210	2.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	10.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	10.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	2 x 200, 175	10.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					42	0	

Volumes										
Additions bbl				Losses bbl		Total Volumes bbl				
Mud Added	352	Weight Materials	7.5	Downhole	25	Left In Pit	Starting Volume	2043.1	Riser w/o Pipe	201.4
Brine		Water		Cased Off		Trip Losses	Daily Additions	436.3	Casing w/o Pipe	346.8
Base Fluid	56	Product	20.8	Left In Hole		Injected	Daily Losses	181	Open Hole w/o Pipe	823.3
Recycled		Other		Discharged		Spill To Environment	Ending Volume	2298.4	String Displacement	72.6
				SCE	42	Onshore Disposal	Net Change	255.3	String Capacity	141.3
				Evaporation	33	Returned			Total Hole w/ Pipe	1299.0
				Other Losses	81				Total Active	1708.0
									Total Reserve	590.0

IADC Hours					
Wash	1	Miscellaneous	3	Drilling Formation	20

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	32213.52	Daily Product Cost	0.00	Primary Product	455206.75
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	29081.25
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	33113.52	Total Daily Cost	0.00	Primary Total	484288.00
Total Inventory Value	350203.60	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	351491 lb

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Oil Based Product											
CALCIUM CHLORIDE (97%)	25 kg	200					40	160	7.23	6.80	
CARBO-GEL	50 lb	150					10	140	2.08	2.94	
MIL-LIME	25 kg	120					80	40	5.69	6.71	
OMNI-COTE	55 USgal	4						4			
OMNI-MUL	55 USgal	26					2	24	2.13	0.88	
OMNI-PLEX	55 USgal	24						24	0.35		
OMNI-TEC	55 USgal	13					5	8	2.17	2.04	
PARA-TEQ	1 bbl	643					56	587			
Water Based Product											
BLACK MAGIC SF T	25 kg	120						120			
CAUSTIC SODA	25 kg	32						32			
MIL-BAR	1000 kg	56					5	51	26.46	8.93	
SAW DUST	25 kg	29						29			
Xanthan Gum	25 kg	47						47			
LCM											
CALCIUM CARBONATE - FINE	25 kg	80						80	1.54		
CALCIUM CARBONATE - MED	25 kg	120					40	80	1.85		
KWIKSEAL - MEDIUM	25 kg	35						35			
MIL-PLUG FINE	25 kg	84						84			
MIL-SEAL MEDIUM	25 kg	60						60			
SOLUFLAKE F	50 lb	80						80			
SOLUFLAKE M	50 lb	80						80			

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Waboso Peter / Olayinka 'Kunle	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	33113.52 USD	484288.00 USD	350203.60 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.